

Contractual Intent

When do words and conduct show a commitment to contract?

A conversation about a possible deal does not always create a contract. This guide explains how English law identifies a willingness to make a binding offer, and why the outward meaning of words and conduct matters more than an undisclosed thought.

1 Begin with the basic idea

A **contract** is an agreement that the law recognises as creating enforceable obligations. An **offer** proposes sufficiently definite terms and shows a willingness to be bound if those terms are accepted. **Acceptance** is agreement to that offer.

An **invitation to treat** invites further offers or negotiations. It does not itself give the recipient the power to create a contract simply by saying yes. The context and the wording both matter.

ILLUSTRATIVE WORDS	WHAT THEY SUGGEST
"I offer to sell you my bicycle for £80. Please accept by Friday."	A definite offer, assuming the surrounding circumstances support that reading.
"I am thinking of selling my bicycle. What would you pay?"	An invitation to discuss a possible deal.

2 Two different questions about intention

Is this a binding offer? Ask whether the speaker has committed to the proposed terms, so that acceptance can establish agreement.

Is legal enforcement intended? The wider requirement of **intention to create legal relations** asks whether the arrangement is intended to carry legal obligations. A casual social arrangement raises a different issue from a commercial offer.

For an ordinary simple contract, agreement, consideration and intention to create legal relations generally matter. **Consideration** is something of value given or promised in exchange. Some transactions also require particular formalities. This guide focuses on the meaning of communications, rather than every requirement for a valid contract.

3 The objective approach

The court asks how a reasonable person in the recipient's position would understand the words and conduct in their context. This is an **objective** approach: it examines what was communicated. A **subjective** approach would focus on a person's private thoughts.

Storer v Manchester City Council

[1974] 1 WLR 1403 · Court of Appeal

4 The facts and the question

Manchester City Council operated a scheme allowing tenants to buy their council houses. It sent Mr Storer a sale agreement and a letter directing him to sign and return it; the council would then send its signed counterpart. Storer signed and returned the agreement.

After political control changed, the council stopped the sales scheme and resisted completing the sale. Storer argued that a contract already existed. The question was whether the council's communication was an offer that he had accepted, or only a step towards a future agreement.

5 The decision and who won

The Court of Appeal found a binding contract. Read in context, the documents showed a sufficiently definite commitment; Storer accepted by signing and returning the agreement. The council's unexpressed intention could not change the objective meaning of its communication.

Outcome: Storer won. The council's appeal was dismissed, and the order for **specific performance** was upheld. This remedy required the council to carry out the agreed sale, rather than merely pay compensation.

Lesson: A court examines the commitment communicated to the other party. A later change of policy does not, by itself, undo a contract already formed.

6 Understand the principle through an example

A bookseller emails a student: "I offer you this dictionary for £20. Reply by Thursday to accept." The student replies in time, agreeing to the stated terms. The bookseller then says: "Privately, I was still deciding whether to sell."

Assuming the other requirements are satisfied, the clear offer and acceptance support a contract. The seller's undisclosed hesitation does not remove the commitment communicated in the email.

7 Read the context, not just one phrase

Now suppose the email says: "Provisional price: £20. Any sale requires the owner's approval." A reasonable recipient should recognise that approval remains outstanding. The same price does not make the two messages legally equivalent.

The objective approach also takes account of what the recipient actually knows. A clearly understood joke is different from a serious proposal. It does not mean that every apparently definite sentence is enforceable.

Storer is a historical illustration of offer and acceptance. Do not use it as a statement of today's formal requirements for a sale of land.

First Energy v Hungarian Bank

First Energy (UK) Ltd v Hungarian International Bank Ltd
[1993] 2 Lloyd's Rep 194 · Court of Appeal

8 A manager communicating approval

First Energy negotiated finance with a bank's regional manager. The manager could negotiate, but First Energy knew that he could not personally give final approval: head office had to approve. He later sent a letter offering finance which implicitly conveyed that the necessary approval had been obtained. First Energy accepted.

The bank disputed being bound. The important issue was not simply whether the manager could approve the loan. It was whether he had **apparent authority** to communicate head office's approval to the customer.

9 The decision and who won

The Court of Appeal held that the manager had apparent authority to communicate approval. His position and the bank's dealings justified treating him as its channel for that communication, even though he lacked authority to approve the finance himself.

Outcome: First Energy succeeded on the question of contractual liability. The bank was bound by the accepted offer. The result protected a reasonable customer's reliance on the manager's communication in these circumstances.

10 Two kinds of authority

TERM	PLAIN ENGLISH MEANING
Actual authority	Permission the organisation has actually given its representative, expressly or by implication.
Apparent authority (also: ostensible authority)	Authority the organisation's words or conduct reasonably lead an outsider to believe the representative has.

An employee cannot create apparent authority merely by claiming to have it. The appearance must be attributable to the organisation. A job title does not give unlimited power, and the outsider's knowledge of limits matters.

11 Why the distinction matters

Imagine a university administrator who cannot approve a scholarship but is authorised to notify students of the committee's decisions. **Making the decision** and **communicating the decision** are different functions. This analogy explains the distinction; it does not establish the legal result in every university dispute.

Compare: Storer concerns the meaning of a commitment; First Energy also concerns the authority of the person communicating it.

Analysis and Legal English

12 A practical reading method

Identify the parties. Who is proposing the deal, and is anyone acting for an organisation?

Read the wording and context. Is this a definite commitment or an invitation to negotiate? Is approval still required?

Find acceptance. What response or conduct agrees to the offer?

Check authority. Separate authority to decide from authority to communicate.

State the result. Explain why a commitment was, or was not, established. Then consider other formation requirements.

13 Essential vocabulary

TERM	MEANING
Binding	Creating a legal obligation that can be enforced.
Objective approach	Assessing the meaning reasonably conveyed by words and conduct in context.
Invitation to treat	An invitation to negotiate or make an offer.
Specific performance	A court order requiring performance of a contractual obligation.
Apparent authority	Authority reasonably appearing to exist because of the organisation's representations.

14 Check your understanding

1. A seller privately doubts a sale but sends a clear offer. Does that secret doubt alone prevent a contract?
2. Who won in *Storer*, and what remedy was upheld?
3. In *First Energy*, did the manager have apparent authority to approve the finance himself?
4. Is willingness to make a binding offer the same question as intention to create legal relations?

Answers: 1. No. Assess the communication objectively and check acceptance and the other requirements. 2. *Storer*; specific performance of the sale. 3. No. The decisive authority concerned communicating head-office approval. 4. No. One concerns commitment to the proposed offer; the other concerns whether legal obligations are intended.

Authorities and source material

Storer v Manchester City Council [1974] 1 WLR 1403. Law report.

First Energy (UK) Ltd v Hungarian International Bank Ltd [1993] 2 Lloyd's Rep 194. The authority distinction is explained in *Kelly v Fraser* [2012] UKPC 25, paragraphs 14–15: official judgment.

Based on the supplied *Contractual Intent* — *Contract Law* lesson. Examples are simplified for learning; this guide concerns English law.